



Part 3

THOSE GRAY SWANS OF EXTREMISTAN

It's time to deal in some depth with four final items that bear on our Black Swan.

Primo, I have said earlier that the world is moving deeper into Extremistan, that it is less and less governed by Mediocristan—in fact, this idea is more subtle than that. I will show how and present the various ideas we have about the formation of inequality. *Secondo*, I have been describing the Gaussian bell curve as a contagious and severe delusion, and it is time to get into that point in some depth. *Terso*, I will present what I call Mandelbrotian, or fractal, randomness. Remember that for an event to be a Black Swan, it does not just have to be rare, or just wild; it has to be unexpected, has to lie outside our tunnel of possibilities. You must be a sucker for it. As it happens, many rare events can yield their structure to us: it is not easy to compute their probability, but it is easy to get a *general* idea about the possibility of their occurrence. We can turn these Black Swans into Gray Swans, so to speak, reducing their surprise effect. A person aware of the possibility of such events can come to belong to the non-sucker variety.

Finally, I will present the ideas of those philosophers who focus on phony uncertainty. I organized this book in such a way that the more technical (though nonessential) sections are here; these can be skipped without any loss to the thoughtful reader, particularly [Chapters 15, 17](#), and the second half of [Chapter 16](#). I will alert the reader with footnotes. The reader less interested in the mechanics of deviations can then directly proceed to [Part 4](#).